Bahrain: Bailout will cement pivot to UAE

送信者: EG Middle East & North Africa 受信日時: 2026-11-07 05:28

【メール原文】

A Gulf-funded bailout is Bahrain’s only option. Public debt has approached almost $75 billion (about $45 billion is external), accounting for more tha||||||||||||||||

Bahrain
Customize Email Preferences

UAE bailout will anchor Bahrain in Abu Dhabi's orbit

6 Nov 2026 15:27 EST Discover more on the Portal
Short-term trajectory:
Long-term trajectory:

*
Abu Dhabi will lead a rescue package for Bahrain likely consisting of a zero-interest loan of as much as $10 billion as the Iran war intensifies pressure on the island kingdom’s economy and fiscal situation, with Kuwait and Saudi Arabia also expected to contribute.
*
The UAE will tie the money to further Bahraini alignment with its positions on Israel and Iran, regional conflicts such as Sudan, and UN affairs, including Emirati diplomat Lana Nusseibeh's bid to become UN secretary-general.
*
Bahrain is pivoting from Saudi Arabia to the UAE as its primary economic and political patron, a shift Riyadh will tolerate given Bahrain’s low strategic priority and Manama’s intrinsic ties to the kingdom by virtue of geography and national security interests.

A Gulf-funded bailout is Bahrain’s only option. Public debt has approached almost $75 billion (about $45 billion is external), accounting for more than 150% of GDP, and the budget deficit is forecast to reach 11.4% of GDP this year. Bahrain is the only Gulf Cooperation Council (GCC) state rated junk by Standard & Poor’s, Moody’s, and Fitch. Its bonds sold off sharply in August-September as rising US Treasury yields and Iran war risk premiums lifted borrowing costs. Although spreads on dollar bonds due in 2028 have stabilized since then, yields remain high, reflecting a risk of default. In addition to interest payments of about $3.1 billion this year and approximately $3.4 billion in 2027, $2.6 billion of dollar-denominated sovereign bonds mature at the end of March 2027. Another $2.45 billion in external debt matures in 2028.

On the economic front, the situation in the Strait of Hormuz is choking exports of oil, petrochemicals, and metals, while Iranian attacks damaged the Bapco refinery and the Alba aluminum smelter. Both can be repaired, but disrupted output cuts revenue when Bahrain needs it most. The April 2026 five-year currency swap with the UAE, worth 2 billion Bahraini dinars (about $5.4 billion), defends the dinar's peg. It does not touch the deficit or the debt stock.

Fiscal tightening will have to be balanced against internal stability. Sources close to the Bahraini and Emirati governments say a rescue package is in its final stages. Its core is a zero-interest sovereign loan of as much as $10 billion, with Abu Dhabi likely providing 50% to 70%. Kuwait and Saudi Arabia will also contribute, which reinforces GCC solidarity and keeps Bahrain from looking wholly dependent on the UAE. In return, Gulf creditors may demand further tax increases (VAT was first introduced in 2019 and raised to 10% in 2022) and cuts to subsidies, transfers, support for state-owned enterprises, and capital spending.

But these demands will have to be balanced against rekindled concerns among Gulf states over Bahrain's stability. Worsening economic conditions and further fallout from the Iran war could stoke sectarian tensions in a kingdom where a Sunni monarchy rules a majority Shiite population. Manama has accused Iran of recruiting Bahraini Shiites to foment internal strife. The UAE has consistently backed Bahrain's national security measures.

Bahrain will fully align with Abu Dhabi and move further into its diplomatic and security orbit. Bahrain is already embedded in the UAE-led Abrahamic coalition and will support it in multilateral settings. On Iran, Bahrain will continue to adopt a more hawkish posture after Iranian attacks on its infrastructure, narrowing space for independent de-escalation. Bahrain hosts the US Fifth Fleet and will be expected to keep its dealings with Washington in line with UAE preferences on Iran and regional security. This will further strengthen Abu Dhabi's hand in shaping how Gulf positions are presented in Washington.

Bahrain holds a non-permanent seat on the UN Security Council for 2026-2027, and Abu Dhabi will leverage that position. Manama is expected to rally support for Nusseibeh through public endorsement, lobbying of member states, and aligned messaging. Coordinated voting and statements on Iran sanctions, Sudan, and Yemen will let the UAE amplify its presence in New York and present its priorities as having broader regional backing.

Saudi Arabia will tolerate Abu Dhabi's lead. Bahrain, long seen as Riyadh's backyard, is a low priority for Saudi leaders, who are focused on their own economic troubles and larger regional issues. The King Fahd Causeway ties Bahrain's trade, commuting, and tourism to the Saudi mainland regardless of who funds the bailout, preserving Riyadh's leverage. Saudi participation keeps the kingdom at the table and lets the GCC brand the rescue as collective.

Personal ties and military support will make the pivot durable. Bahrain's King Hamad bin Isa al Khalifa and UAE President Sheikh Mohamed bin Zayed have a long personal relationship, including frequent hunting trips. In a 13 October address to parliament, Hamad thanked the UAE and bin Zayed for their "great brotherly stance" and "constant solidarity." His relationship with Saudi Crown Prince Mohammed bin Salman has featured bouts of tension.

Kinship reinforces the Bahrain-UAE connection: Hamad's son Sheikh Nasser (the country's national security adviser) is the brother-in-law of bin Zayed's brother, Sheikh Mansour, the UAE's vice president. The UAE has also provided air support and intelligence sharing and helped Bahrain import and export products through or around Hormuz. By extending the loan, Abu Dhabi is protecting an ally, not just buying influence.

Sam Dagher
Consultant, Middle East & North Africa
dagher.ne@eurasiagroup.net

Firas Maksad
Managing Director, Middle East & North Africa
+1 202.552.5384
maksad@eurasiagroup.net
EG Middle East & North Africa
mena@eurasiagroup.net

Now on iOS and Android
Get the Eurasia Group app
Read anywhere · Receive notifications · Reach out to analysts
App Store
Google Play

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmw5f7ya7r4bc07lo8cq8v3qt

Opt Out | Customize Email Preferences